

Domestic SBL Process Flow: Direct Lending

Model 1. Trading Participant as a Direct Lender to its Clients



Trading Participant (“TP”) lends shares from its proprietary account to its client.

- TP executes a Master Securities Lending Agreement (“MSLA”) with its Client (Borrower).
- TP lends shares from its proprietary account and delivers it to Client (Borrower).
- Client (Borrower) delivers the collateral to the TP.
- The TP, as Proprietary Lender, may opt to be the one to manage the collateral or to outsource it to a third party collateral manager.

Summary of Documentary Requirements for Model 1

Agreement	Parties to the Agreement	
	Proprietary Lender	Client Borrower
Master Securities Lending Agreement (MSLA)	✓	✓

Domestic SBL Process Flow: Lender Intermediaries

Model 2. Trading Participant as a Lending Agent



Different clients of the same TP can lend and borrow shares through the TP which executes a multilateral MSLA with multiple client-borrowers. The TP will act as a Lending Agent for its client-lenders.

- TP registers as a Lending Agent with the SEC.
- TP executes a Securities Lending Authorization Agreement (“SLAA”) with its Client (Lender) to be able to lend shares on the Client (Lender)’s behalf.
- TP executes a multilateral MSLA with its Clients (Borrower) who intends to borrow shares.
- The Client (Lender) delivers the shares available for loan to the TP, while the Client (Borrower) delivers the collateral.
- The TP, as Lending Agent, may opt to be the one to manage the collateral or to outsource it to a third party collateral manager.

Summary of Documentary Requirements for Model 2

Agreement	Parties to the Agreement		
	Client Lender	TP Lending Agent	Client Borrower
Securities Lending Authorization Agreement (SLAA)	✓	✓	
Master Securities Lending Agreement (MSLA)		✓	✓

Domestic SBL Process Flow: Lender Intermediaries

Model 3. Different Trading Participants as Different Intermediaries



Different TPs act as different intermediaries for clients on both the lending and borrowing sides.

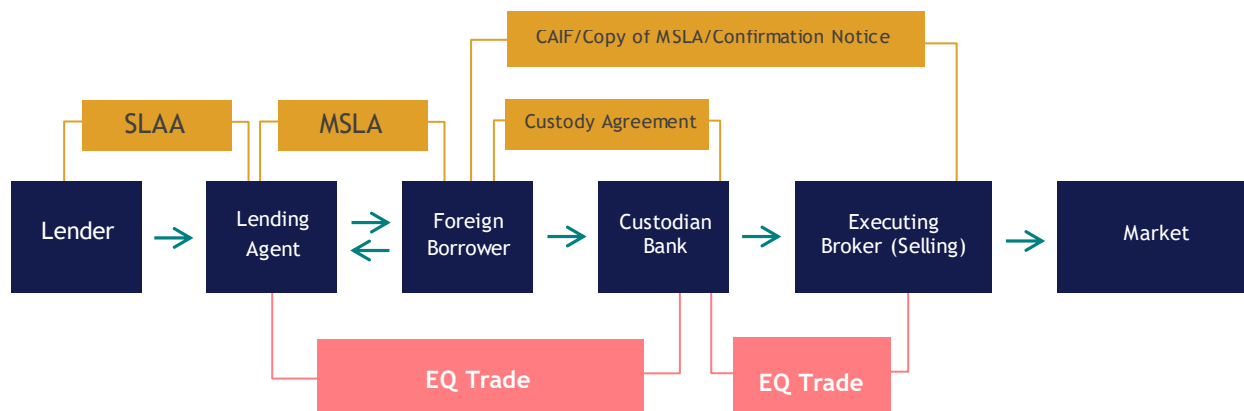
- TP (Agent Facilitator) executes an SLAA with its Client (Lender) to be able to act on Client (Lender)'s behalf to facilitate the lending of securities to a Lending Agent.
- TP (Agent Facilitator) executes an SLAA with the Lending Agent for the latter to be able to lend shares on behalf of TP's clients.
- TP (Borrower) executes a Service Agreement with the Client (Borrower) to be able to borrow shares on Client (Borrower)'s behalf.
- The Lending Agent and TP (Borrower) execute an MSLA, to facilitate SBL transactions on behalf of their end-clients.
- The Client (Lender) delivers the shares available for loan to the TP (Agent Facilitator) who then delivers it to the Lending Agent.
- The Client (Borrower) delivers collateral to TP (Borrower), who then delivers it to the Lending Agent in exchange for the borrowed shares.
- The Lending Agent may opt to be the one to manage the collateral or to outsource it to a third party collateral manager.

Summary of Documentary Requirements for Model 3

Agreement	Parties to the Agreement				
	Client Lender	TP Agent Facilitator	Lending Agent	TP Borrower	Client Borrower
Securities Lending Authorization Agreement (SLAA)	✓	✓	✓		
Master Securities Lending Agreement (MSLA)			✓	✓	
Service Agreement				✓	✓

Domestic SBL Process Flow: Foreign Clients

Model 4. Foreign Clients as Borrowers



The end-client on the borrowing side is foreign, requiring the services of a custodian bank.

- The Lending Agent executes an SLAA with its Client (Lender) to be able to lend shares on Client (Lender)'s behalf.
- The Lending Agent, on behalf of Client (Lender), executes an MSLA with the Foreign Borrower.
- A Custody Agreement is executed between the Foreign Borrower and his Custodian Bank. The Custodian Bank will be in charge of safekeeping his client's securities.
- The Lending Agent delivers the shares to the Custodian Bank via EQ Trade, while Foreign Borrower delivers the collateral to the Lending Agent.
- The Lending Agent may opt to be the one to manage the collateral or to outsource it to a third party collateral manager.

Foreign client sells the borrowed shares in the open market

- Foreign Borrower, who is a client of the Executing Broker (Selling) and the short seller, shall provide his broker a copy of the MSLA and Confirmation Notice as proof that the short selling order is covered by a borrowing transaction.
- The borrowed shares are sold in the open market at the current market price.
- The borrowed shares that were short sold shall be delivered by the Custodian Bank to the Executing Broker (Selling) via EQ Trade in time for settlement.

Summary of Documentary Requirements for Model 4

Agreement	Parties to the Agreement				
	Lender	Lending Agent	Client Borrower	Custodian Bank	E. Broker (Selling)
SLAA	✓	✓			
MSLA		✓	✓		
Custody Agreement			✓	✓	
Copy of MSLA, Confirmation Notice			✓		✓

© The Philippine Stock Exchange, Inc. (PSE). All rights reserved.

This document is a property of the PSE and cannot be used or reproduced, distributed or forwarded by any person or company, in any form and in any manner, without the written consent of the PSE. Any and all unauthorized reproduction, distribution or forwarding of this document, in whole or in part, is subject to legal action.

This document is not intended for general circulation and does not, in any form, constitute legal, financial or investment advice and neither does it make any recommendation or endorsement to buy and/or sell any kind of investment product(s). The PSE reserves the right to make adjustments, omissions, corrections, and other similar actions to this document at any period of time. The PSE does not warrant or represent, expressly or impliedly, the accuracy, validity, correctness and completeness of the information stated in this document. The PSE, together with its affiliates and subsidiaries, expressly disclaim any and all liability arising from any actions or decisions made on the basis of this document, its content, and/or any changes, omission or error of the aforementioned.

Any views or opinions, either defamatory or complimentary, are solely those of the author/speaker and do not necessarily represent those of the PSE. The PSE together with its affiliates and subsidiaries will not accept any liability arising from the consequences of, and any actions or decisions made in respect to any statements expressed henceforth.